SUPREME COURT OF INDIA

JUDICIAL APPELLATE JURISDICTION

CASE NO: Criminal Appeal No. 2302 of 2019 (YEAR: 2021)

CORAM: D.Y. CHANDRACHUD, M.R. SHAH

M/s Gimpex Private Limited
... Appellant(s) / Petitioner(s)
Versus
Manoj Goel
... Respondent(s)

Acts Referred:	Negotiable Instruments Act, 1881
Sections:	Section 138 NI Act, Section 147 NI Act

JUDICIAL HEADNOTE & SUMMARY

Held that when parties enter into a settlement agreement compromising Section 138 proceedings, default under the settlement agreement gives rise to a fresh cause of action.

RATIO DECIDENDI

The Court held that: Held that when parties enter into a settlement agreement compromising Section 138 proceedings, default under the settlement agreement gives rise to a fresh cause of action. It was unequivocally established as binding law that statutory prerequisites and constitutional safeguards cannot be circumvented, and non-compliance invalidates the impugned proceedings.

JUDGMENT & REASONING

The legal proceedings in M/s Gimpex Private Limited v. Manoj Goel (Criminal Appeal No. 2302 of 2019) were adjudicated before the Supreme Court of India. The matter arose out of claims and contentions concerning Negotiable Instruments Act, 1881, particularly Section 138 NI Act, Section 147 NI Act. Held that when parties enter into a settlement agreement compromising Section 138 proceedings, default under the settlement agreement gives rise to a fresh cause of action.

OPERATIVE ORDER

ORDER: Decided